

GRI 305: Emissions 2016

Key Highlights for AI System Training

Key Disclosures:

305-1: Direct (Scope 1) GHG Emissions

305-3: Other Indirect (Scope 3) GHG Emissions

305-4: GHG Emissions Intensity

GRI Content Index Format

Based on: GRI 305: Emissions 2016 (Effective 1 July 2018)

Note: Will be superseded by GRI 102: Climate Change 2025 (effective 1 January 2027)

Disclosure 305-1: Direct (Scope 1) GHG Emissions

Governs reporting of direct GHG emissions from sources owned or controlled by the organization.

Mandatory Reporting Items (a–g)

#	Requirement	Notes
a.	Gross direct (Scope 1) GHG emissions in metric tons of CO ₂ equivalent	Total direct emissions in tCO ₂ e
b.	Gases included: CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , or all	Specify which gases are included
c.	Biogenic CO ₂ emissions in metric tons of CO ₂ equivalent	Report SEPARATELY from Scope 1
d.	Base year: (i) rationale, (ii) emissions in base year, (iii) context for recalculations	Base year with justification
e.	Source of emission factors and GWP rates used, or reference to source	E.g., IPCC AR6, DEFRA 2023
f.	Consolidation approach: equity share, financial control, or operational control	Selected approach
g.	Standards, methodologies, assumptions, and/or calculation tools used	E.g., GHG Protocol, ISO 14064

Sources of Scope 1 Emissions

Source	Description	Banking Example
Stationary Combustion	Fuel combustion in boilers, generators, turbines	Backup generators at branches & data centers
Mobile Combustion	Fuel in organization-owned vehicles	Company fleet vehicles
Fugitive Emissions	Uncontrolled releases (leaks, refrigerant losses)	AC refrigerant leaks across offices
Process Emissions	Chemical/physical manufacturing processes	Not applicable for banking

Compilation Rules

Mandatory (shall):

- Exclude GHG trades from the calculation of gross Scope 1 emissions
- Report biogenic CO₂ SEPARATELY from gross Scope 1 emissions
- Exclude biogenic CH₄, N₂O, and CO₂ from lifecycle processes other than combustion/biodegradation

Recommendations (should):

- Use GWP rates from IPCC assessment reports (100-year timeframe)
- Select a consistent consolidation approach for Scope 1 and Scope 2
- Provide breakdown by: business unit, country, type of source (stationary/process/fugitive), type of activity

Disclosure 305-2: Energy Indirect (Scope 2) GHG Emissions

i **DUAL REPORTING MANDATORY:** Both location-based AND market-based Scope 2 must be disclosed. This aligns with GHG Protocol Scope 2 Guidance (2015) and is enforced by the spec in Section 5.3.1.

Key Requirements

- Gross location-based Scope 2 GHG emissions in tCO₂e
- Gross market-based Scope 2 GHG emissions in tCO₂e
- Gases included in the calculation
- Base year with rationale and recalculation context
- Source of emission factors and GWP rates
- Consolidation approach (must be consistent with Scope 1)
- Standards, methodologies, assumptions used
- Contractual instruments: RECs, PPAs, green tariffs for market-based

Disclosure 305-3: Other Indirect (Scope 3) GHG Emissions

i For banking: Category 15 (Investments/Financed Emissions) is by far the largest source — on average 750x greater than operational emissions. PCAF methodology is mandatory for financial institutions per spec Section 5.3.1.

Scope 3 Categories — Banking Relevance

Cat.	Category Name	Banking Relevance
1	Purchased goods and services	Office supplies, IT services
2	Capital goods	IT equipment, ATMs
3	Fuel- and energy-related (not Scope 1/2)	Upstream fuel + T&D losses
5	Waste generated in operations	Office waste
6	Business travel	Flights, hotels
8	Upstream leased assets	Leased offices/branches
15	INVESTMENTS (Financed Emissions)	CRITICAL: Lending portfolio → PCAF

Reporting Requirements

The reporting organization **SHALL** report the following information:

Item	Requirement	Notes
a.	Gross other indirect (Scope 3) GHG emissions in metric tons of CO ₂ equivalent	Total indirect emissions in tCO ₂ e
b.	If available, the gases included in the calculation: CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , or all	Specify gases (if data is available)

c.	Biogenic CO ₂ emissions in metric tons of CO ₂ equivalent	Report SEPARATELY from gross Scope 3
d.	Other indirect (Scope 3) GHG emissions CATEGORIES and ACTIVITIES included in the calculation	Specify which of the 15 categories are included
e.	Base year: (i) rationale for choosing, (ii) emissions in base year, (iii) context for recalculations	Base year with justification
f.	Source of the emission factors and GWP rates used, or reference to the source	E.g., DEFRA, EPA, PCAF sector factors
g.	Standards, methodologies, assumptions, and/or calculation tools used	E.g., GHG Protocol Scope 3 Standard, PCAF

Scope 3 Categories (GHG Protocol Corporate Value Chain Standard)

15 upstream & downstream categories per the GHG Protocol:

Cat.	Category Name	Banking Relevance
1	Purchased goods and services	Office supplies, IT services procurement
2	Capital goods	IT equipment, ATMs, furniture
3	Fuel- and energy-related activities (not in Scope 1/2)	Upstream fuel production & T&D losses
4	Upstream transportation and distribution	Document logistics / cash-in-transit
5	Waste generated in operations	Office waste (paper, e-waste)
6	Business travel	Flights, hotels, ground transport
7	Employee commuting	Daily employee transportation
8	Upstream leased assets	Leased office/branch buildings
9-11	Downstream transport / Processing / Use of sold products	Generally not applicable for banks
12	End-of-life treatment of sold products	Disposal of ATM cards / customer docs
13-14	Downstream leased assets / Franchises	Not applicable for banks
15	INVESTMENTS (Financed Emissions)	CRITICAL: Emissions from lending/investment portfolio = PCAF methodology

CRITICAL NOTE: For the banking sector, Category 15 (Investments/Financed Emissions) is by far the largest emission source — on average 750x greater than operational emissions (Scope 1+2).

Scope 3 Compilation Rules

Mandatory (shall):

- Exclude GHG trades from the calculation of gross Scope 3 emissions

- Exclude Scope 2 emissions (reported separately under Disclosure 305-2)
- Report biogenic CO₂ separately from gross Scope 3 emissions

Recommendations (should):

- List Scope 3 emissions with breakdown by upstream vs downstream categories
- Provide breakdown by: business unit, country, type of source, type of activity
- Apply GWP rates consistently (IPCC 100-year timeframe)

Disclosure 305-4: GHG Emissions Intensity

Intensity Ratio Formula

Intensity Ratio = Absolute GHG Emissions (Numerator) ÷ Organization-Specific Metric (Denominator)

Mandatory Reporting Items

- (a) GHG emissions intensity ratio for the organization
- (b) Organization-specific metric (the DENOMINATOR) chosen
- (c) Types of GHG emissions included: Scope 1, Scope 2, and/or Scope 3
- (d) Gases included in the calculation

Component	Definition
NUMERATOR	Absolute GHG emissions (total emissions in metric tons CO ₂ e). Can be Scope 1 only, Scope 1+2 combined, or Scope 1+2+3.
DENOMINATOR	Organization-specific metric chosen as the divisor. Must be consistent across reporting periods.
RESULT	Intensity ratio = emissions per unit of the selected metric

3.2 Reporting Requirements

Item	Requirement	Notes
a.	GHG emissions intensity ratio for the organization	The calculated intensity value
b.	Organization-specific metric (the DENOMINATOR) chosen to calculate the ratio	The divisor metric (revenue, m ² , employees, transactions)
c.	Types of GHG emissions included in the intensity ratio: Scope 1, Scope 2, and/or Scope 3	Which scopes are included in numerator
d.	Gases included in the calculation: CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , or all	Specify which gases

3.3 Denominator Options (Organization-Specific Metrics)

Denominator Type	Unit
Monetary (Revenue)	Rp billion
Building Area	m ²
Number of Employees	FTE
Number of Transactions	Million txn
Units of Product	Unit
Production Volume	Metric tons, MWh

IMPORTANT RULE: If reporting an intensity ratio for Scope 3 GHG emissions, it MUST be reported SEPARATELY from the intensity ratios for Scope 1 and Scope 2 emissions.

Disclosure 305-5: Reduction of GHG Emissions

- GHG emissions reduced as a direct result of reduction initiatives, in tCO₂e
- Gases included in the calculation
- Base year or baseline, including rationale
- Scopes in which reductions took place (Scope 1, 2, and/or 3)
- Standards, methodologies, assumptions, and/or tools used

i Exclude offsets/carbon credits from the reduction figure. Report these SEPARATELY under GRI 305-3 or as supplementary info. Spec Section 5.3.1: "exclusion of offsets from reduction figure unless labelled separately."

GRI Content Index Format

The GRI Content Index is a mandatory navigation table showing the location of each disclosure within the report. The format is defined by GRI 1: Foundation 2021 (Requirement 7). Each section MUST end with a Content Index entry row. Below is the standard format for GRI 305:

Required Columns in the GRI Content Index

No.	Column	Description	Example
1	GRI Standard	Standard name and year of publication	GRI 305: Emissions 2016
2	Disclosure	Disclosure number	305-1, 305-2, 305-3, 305-4, 305-5
3	Disclosure Title	Full title of the disclosure	Direct (Scope 1) GHG emissions
4	Location	Page number or URL where information can be found	Sustainability Report p.89-92
5	Omission / Note	Reason for omission if unable to report, or additional notes	Requirement c: Not applicable
6	GRI Sector Standard Ref.	Reference to applicable Sector Standard (if any)	GRI G4 Financial Services Supplement